

THIS NOTE IS A LEGALLY BINDING CONTRACT. BY SIGNING BELOW, THE PARTIES ACKNOWLEDGE THAT THEY HAVE READ, UNDERSTOOD, AND AGREED TO ALL TERMS AND CONDITIONS, AND THAT THEY ENTER INTO THIS AGREEMENT VOLUNTARILY AND WITH FULL LEGAL CAPACITY.

Promissory Note

BETWEEN [CREDITOR NAME] (hereinafter referred to as “**Lender**” or “**Creditor**”), whose address is [ADDRESS OF CREDITOR] and [DEBTOR NAME] (hereinafter referred to as “**Borrower**” or “**Debtor**”), whose address is [ADDRESS OF DEBTOR].

1 Acknowledgment of Debt

I, [DEBTOR NAME], hereby acknowledge that I owe [CREDITOR NAME] the total sum of 1.000.000 € (AMOUNT IN WORD CURRENCY), which was received on [MM/DD/YYYY].

2 Purpose of Loan

The **Borrower** acknowledges that the loaned amount is provided solely for lawful purposes and is intended to be used for the following purpose(s):

[PURPOSE DESCRIPTION E.G. PERSONAL LOAN, EMERGENCY EXPENSES, PROPERTY REPAIR ETC. EXAMPLES of acceptable loan purposes include, but are not limited to, personal living expenses, medical or healthcare costs, educational or tuition expenses, home repairs or maintenance, travel or relocation costs, debt consolidation, payment of taxes or legal fees, emergency expenses, business working capital, purchase of equipment or inventory, startup or expansion costs, and other lawful personal or business-related expenses.]

The **Borrower** agrees to use the loan proceeds only for the stated purpose and not for any illegal or prohibited activity.

The **Lender** makes no representation or warranty regarding the suitability of the loan for the stated purpose, and the **Borrower** assumes all responsibility for the use of the loaned funds.

3 Repayment Terms

☐ **Lump-Sum Payment** The **Borrower** agrees to repay the full outstanding Loan Amount, including any accrued interest and fees, in one lump sum payment of 1.000.000 €, due on or before [MM/DD/YYYY]. Payment in full shall satisfy all obligations of the **Borrower** under this Note.

☐ **Installment Payments** The **Borrower** agrees to repay the outstanding Loan Amount in [WEEKLY/MONTHLY/QUARTERLY] installments of 1.000 € each, commencing on [MM/DD/YYYY] and continuing until the Loan Amount, including any interest, is paid in full.

Payments shall be made via:

☐ Cash	[IN PERSON / VIA MAIL / DEPOSIT]
☐ Bank Transfer	[IBAN BANKXXXXXXXXXXXXXX]
☐ Check	[BENEFICIARY NAME]
☐ Other	[SPECIFY]

4 Interest

☐ **No Interest** This loan is interest-free.

☐ **With Interest** The Loan Amount shall accrue interest at a rate of [XX PERCENT] per annum calculated on the outstanding principal balance, beginning on the date the Loan is disbursed and continuing until the Loan Amount is paid in full. Interest shall be calculated on a [SIMPLE / COMPOUND] basis and shall be payable in accordance with the repayment terms set forth in this Note.

Unless otherwise stated, interest shall accrue daily based on a 365-day year and shall be included in each scheduled payment. In the event of a late or missed payment, interest shall continue to accrue on any unpaid principal and accrued interest until payment is received in full.

The **Borrower** acknowledges that the stated interest rate represents the full and agreed compensation to the **Lender** for extending the loan. In no event shall the interest charged under this Agreement exceed the maximum rate permitted by applicable law, and any excess interest collected shall be applied toward the principal balance or refunded to the **Borrower**, as required by law.

5 Collateral

☐ **No Collateral** This loan is unsecured.

☐ **With Collateral** As security for the full and timely payment and performance of all obligations under this Promissory Note, the **Borrower** hereby grants and pledges to the **Lender** a continuing security interest in the collateral described below ("*Collateral*").

Description of Collateral

The Collateral securing this Note consists of the following property, whether now owned or hereafter acquired:

Description:	[EXAMPLES : motor vehicle, real property with legal description, equipment, inventory, accounts receivable, personal property, or other assets]
Address:	[ADDRESS]
Country:	[COUNTRY]
Estimated Value:	[ESTIMATED VALUE]

Borrower Representations

The ***Borrower*** represents and warrants that:

- The ***Borrower*** is the lawful owner of the Collateral.
- The Collateral is free and clear of all liens, claims, and encumbrances, except as disclosed in writing to the ***Lender***.
- The ***Borrower*** has full authority to grant this security interest.

Maintenance of Collateral

The ***Borrower*** agrees to:

- Keep the Collateral in good condition and reasonable repair.
- Not sell, transfer, lease, or otherwise dispose of the Collateral without the prior written consent of the ***Lender***.
- Maintain any required insurance on the Collateral, naming the ***Lender*** as loss payee, if applicable.

Perfection of Security Interest

The ***Borrower*** authorizes the ***Lender*** to take any actions reasonably necessary to perfect and protect the ***Lender***'s security interest, including the filing of financing statements or other public notices as permitted by law.

Default and Remedies

Upon an event of default, the ***Lender*** shall have all rights and remedies available under this Note and applicable law, including but not limited to:

- Taking possession of the Collateral without judicial process, where permitted by law.
- Selling, leasing, or otherwise disposing of the Collateral and applying the proceeds to the outstanding balance, including reasonable costs of enforcement.
- Pursuing any deficiency remaining after application of proceeds.

No Waiver

The ***Lender***'s failure to exercise any right or remedy with respect to the Collateral shall not constitute a waiver of that or any other right.

6 Late Payment / Default

If the **Borrower** fails to make any payment under this Note on or before its due date, such payment shall be considered late. In the event of a late payment:

- **Late Fee:** The **Borrower** shall pay a late fee of [XXX €] or [XX PERCENT] of the overdue amount, whichever is greater, for each payment that is late.
- **Interest on Late Payments:** Any overdue amount shall accrue additional interest at a rate of [XX PERCENT] per annum (or the maximum rate permitted by law), calculated from the due date until the date payment is received in full.
- **Notice of Late Payment:** The **Lender** may, but is not required to, provide written notice of the late payment to the **Borrower**. Failure to provide such notice does not waive the **Lender's** rights under this clause or this Note.
- **Cumulative Rights:** The imposition of a late fee or additional interest shall not prevent the **Lender** from exercising any other rights or remedies under this Note, including but not limited to the right to demand immediate repayment of the entire outstanding Loan Amount.
- **Default Trigger:** Repeated late payments or failure to pay within [DEADLINE] days after the due date may constitute a default under this Note, entitling the **Lender** to exercise any remedies available under this Agreement or at law.

Failure to pay constitutes a default under this Note.

7 Prepayment

The **Borrower** may, at any time, voluntarily repay all or part of the outstanding Loan Amount before its scheduled due date without incurring any penalty or fee. Any prepayment shall be applied first to any accrued interest, then to the principal balance of the Loan. Partial prepayments shall not waive or alter the **Borrower's** obligation to continue making subsequent scheduled payments unless otherwise agreed in writing by the **Lender**. Prepayments must be made in the same manner as regular payments unless the **Lender** consents to an alternative method.

The **Borrower** understands and agrees that making a prepayment will not relieve them of any obligations incurred prior to the prepayment, including accrued interest or other charges. The **Lender** shall provide the **Borrower** with an updated statement reflecting the remaining balance, any accrued interest, and any changes to the payment schedule resulting from the prepayment.

8 No Waiver

No failure or delay by the **Lender** in exercising any right, power, or remedy under this Note shall operate as a waiver of that right, power, or remedy, nor shall any single or partial exercise of any right, power, or remedy preclude any other or further exercise of that right, power, or remedy.

Specifically, the **Lender**'s acceptance of a late payment, partial payment, or any deviation from the terms of this Note shall not constitute a waiver of the **Lender**'s rights to enforce the full terms of this Note in the future. Any waiver of any term or condition of this Note must be expressly made in writing and signed by the **Lender** to be effective.

The **Borrower** acknowledges that all rights and remedies available to the **Lender** under this Note or at law are cumulative and may be exercised individually or concurrently, and that no act or omission of the **Lender** shall limit or waive any such rights or remedies.

9 Entire Agreement

This document represents the entire agreement between the parties and may only be modified in writing and signed by both parties.

(Signature page follows)

IN WITNESS WHEREOF, the ***Lender*** and ***Borrower*** have duly executed this Note on the date set forth below.

LENDER

Name: [CREDITOR NAME]

Address: [ADDRESS OF CREDITOR]

Phone: [CREDITOR PHONE]

Email: [EMAIL OF CREDITOR]

BORROWER

Name: [DEBTOR NAME]

Address: [ADDRESS OF DEBTOR]

Phone: [DEBTOR PHONE]

Email: [EMAIL OF DEBTOR]